

Annual Review and Q4 2024 Performance - Full Year 2024

Date: January 20, 2025 | Ref: QR-2024-Q4

Reporting Period: October 1 - December 31, 2024 | Full Year 2024

Total AUM: \$8.2 billion CAD

Full Year Return (blended): +16.4%

Benchmark Return (blended): +14.9%

Active Return: +1.5%

Full Year 2024 Review

2024 was an exceptional year for multi-asset portfolios. Global equities surged as AI-driven productivity expectations drove multiple expansion, particularly in the technology sector. The S&P 500 returned 25.0% and the MSCI World returned 19.2% in USD terms. Canadian equities lagged global peers (+16.7% for TSX) but still delivered strong absolute returns. Fixed income recovered modestly as central banks pivoted to rate cuts.

Portfolio performance was driven primarily by asset allocation decisions - the early 2024 move to increase US equity exposure from 15% to 18% was a significant contributor given US outperformance. Security selection also added value with Brookfield Asset Management (+47%), NVIDIA (+170%), and Royal Bank (+21%) all generating strong returns.

Q4 2024 Highlights

- US equity outperformed driven by post-election risk-on sentiment and continued AI enthusiasm
- Canadian banks rallied on improved mortgage renewal outlook and BoC rate cuts
- Real estate continued to struggle as office occupancy remained below pre-pandemic levels
- Gold (GOLD.ETF) added 6% as central bank buying continued and uncertainty rose
- Fixed income slightly negative in Q4 as US long rates rose on fiscal concerns

2025 Strategic Asset Allocation Review

Following the annual Investment Policy Statement review, the Investment Committee has approved the following strategic asset allocation changes for 2025: Canadian Equity 30% (unchanged) | US Equity 20% (+2%) | International Equity 10% (unchanged) | Fixed Income 25% (-2%) | Real Estate 5% (unchanged) | Infrastructure 5% (unchanged) | Cash 2% (unchanged) | Alternatives 3% (unchanged).

The increase in US equity is funded by reducing fixed income given improved equity risk premium dynamics and the expectation that the BoC easing cycle will provide less tailwind to bonds in 2025 than 2024. The committee noted elevated concentration risk in technology within the US equity allocation and directed portfolio managers to monitor single-stock exposure closely.

Dividend and Income Summary

Total portfolio income (dividends, coupons, distributions) for 2024: \$187.4M. Yield on portfolio: 2.3%. The fixed income portfolio contributed 61% of total income. Equity dividends contributed 35%. REIT distributions contributed the remaining 4%. Income generation remains ahead of the 2.0% target specified in the Investment Policy Statement.